

tionships among the smaller waves, and that opportunity is years away. At the onset of a new corrective trend, the only reference points available for determining potential support levels are those provided by the preceding wave structure. There is some record of success with this approach, but it has been of less specific value than calculating typical price length relationships within patterns. For example, in early 1966, Charles Collins and Hamilton Bolton gave a preliminary estimate, based upon wave form only, that the bear market that had just begun would last several years and ultimately bottom near Dow 525. That was an excellent first estimate, but it was not until the 1966 low was established that A.J. Frost was able to say, based on typical wave length relationships, that a final low was likely at 572, a level that was met to the dollar on December 9, 1974. (For the full story, see *The Complete Elliott Wave Writings of A. Hamilton Bolton* (New Classics Library, 1994) and *The Complete Elliott Wave Writings of A.J. Frost* (New Classics Library, due 1996).)

Though we are restricted to using previous structure to identify some possible stopping points for the Grand Supercycle bear market, it is of some value that these support levels will retain whatever value they have no matter where the Dow peaks. As illustrated in Figure 5-2, the four most strongly indicated support levels from previous wave structure are as follows:

295, which provided support and resistance in 1928, 1930 and 1953;

195, which provided support and resistance in 1929, 1937 and the late 1940s;

161, which provided support in 1949 at the end of the inflation-adjusted wave IV; and

95, which provided support in 1942 at the low of wave II.

Due to the upward slope of the Millennium degree support line shown in Figure 5-1, the 95 level will be eliminated from consideration if it is not met within a decade. I rule out **41** (the 1932 low) as an acceptable target because it is below the *current* level of the support line. Given ideal upside targets and these support levels, the Dow should fall at least 91.5%, but no more than 98.3% from its high. These percentages will be adjustable to a narrower range once the high is registered.

While such talk appears outrageous, the only precedent available for the first drop in a Grand Supercycle degree bear market is the collapse in British stock prices from 1720 to 1722. Of the 130